

Comparison table of Money Laundering to Terrorist Financing and to Proliferation Financing

	Money Laundering	Terrorist Financing	Proliferation Financing
Flow of Funds	Circular – money eventually ends up with the person that generated it	Linear – money generated is to propagate terrorist groups and activities	Linear – money is used to purchase goods and parts, technology from brokers and manufacturers. Shipping and insurance also part of money trail
Conduits	Favours formal financial system	Favours cash couriers or informal systems such as hawala and currency exchange firms	Favours formal financial system
Detection Focus	Suspicious transactions or deposits uncharacteristic of clients or the expected activity	Suspicious relationships, such as wire transfers to seemingly unrelated parties	Goods and materials activities, countries, individuals
Transaction Amounts	Large, but often structured to avoid reporting requirements	Small, usually below reporting thresholds	Moderate amounts – transactions appear legitimate with transaction profile
Financial Activity	Complex web of transactions often involving shell or front companies, bearer shares and countries with lax financial services regulation	Varied methods including formal banking system, informal value transfer systems, smuggling of cash and valuables	Transactions look like normal commercial activity, structured to hide origin of funding